

“The essence of the Trump administration will be transactional”

Global investor, analyst, and best-selling author Ruchir Sharma decodes why Donald Trump won the elections, what India should do, the risks, and more

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Donald Trump winning the US presidential elections has added a heightened element of uncertainty about what happens next to the global economy and to the stock markets. Ruchir Sharma, Founder of Breakout Capital and Chairman of Rockefeller International, in an interaction with *Rahul Kanwal*, News Director of India Today and Aaj Tak and Executive Director of *Business Today*, talks about the outlook for the markets, implications of Trump's victory, and what lies ahead, among other things. Edited excerpts:

Q: During the campaign, Donald Trump talked about potentially raising tariffs up to 60% on China. What happens next?

A: I think that as far as tariffs are concerned, he's going

to definitely do more than last time, but it's very hard to know how much of this is clustered and how much he's going to negotiate. Take the case of Mexico... it's the easiest country to target... But he also needs Mexico to prevent this immigration from taking place. If he can strike a deal with Mexico where he says, 'Hey, I'm not going to do much with tariffs with you, but in return, what I want from you is to make sure that you seal your border properly.' Then I think with Mexico, the deal will be very different.

So, the essence of the Trump administration is going to be very transactional. And some of the people I've spoken to who are part of his circle... also feel the same way... that if you can cut a deal and show that he's coming out as a winner, especially for America on the back of a deal, he's going to do that. So, it's very hard to sort of sit here and have a baseline, and say, okay, that tariffs are going to go to 60% on China and stuff. He's going to start like with dramatic stuff, but when he settles, it is very different.

Q: What will be the impact of this on India?

A: As far as India is concerned, we are largely a bystander... But one thing that I want to be careful about is that there's also been some talk currently about the great relationship between Trump and [Prime Minister of India Narendra] Modi, which may be the case, but I think you have to understand that the essence is transactional. America has just become a much less dependable ally currently. Tomorrow, if the US sees it in its interest to cut a deal with China, they're not going to think about India as an ally, how it is going